ContractLens MAS — Comparative Synthesis Report

No response to design submission after Client changes floor requirement. Specific questio

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Agents: GCC Agent · NEC Agent · Comparison Agent
Workflow: Query Decomposition → Parallel Querying → Cross-examination → Synthesis → QA
Overall verdict: **PASSED**

Context / Scenario

An ECC Option C design and build contract is awarded for a pedestrian bridge, with a two-week period of reply. The Contractor submits a steel-floor design for acceptance. The Scope provided by the Client is not specific on floor type. The Client later definitely requires a marble floor. Three weeks after the Contractor submitted its steel-floor design, it still has no response from the Project Manager. The Accepted Programme shows the design acceptance is needed the next day; otherwise the Contractor starts to incur additional costs and may miss a materials supply window.

Topic

No response to design submission after Client changes floor requirement.

Questions

What should the Contractor do in this situation?

Query Plan

L1 — Spirit / Philosophy: How does the contract allocate responsibility for administering client-initiated design changes while preserving cooperation, timely decision-making, and orderly project governance?
L2 — Clause-level Provisions: What clauses define the Contractor's duties and rights when a changed floor requirement requires design submission, review, instruction, acceptance, quotation, programme update, notice, or claim, and the Employer's or Project Manager's response is delayed or absent?
L3 — Practice Implications: In practice, what steps should the Contractor take to protect time and cost entitlement, avoid proceeding at risk, maintain records, prompt a decision, and keep the works progressing where possible?
Canonical topic: change_management

Anchor Clauses

GCC: —
NEC4: cl. 13.3, cl. 13.4, cl. 15.1, cl. 21.2, cl. 60.1(6), cl. 61.3, cl. 61.4

Comparative Synthesis

> **Executive summary —** GCC bars the Contractor from proceeding without written Engineer approval/order but allows EOT and Cost claims if notices, records and mitigation are maintained; NEC likewise bars proceeding without PM acceptance but gives CE machinery. GCC is claim-protective; NEC is prospective and collaborative.

1. Spirit / Philosophy — Engineer-led claims vs relational control.

GCC: The GCC administers a client-initiated floor change through Engineer authority, written approval, variation orders, EOT and Cost claims. Its governance ethos is formal and claims-oriented: the Contractor protects entitlement by notices, contemporary records, particulars, interim accounts and mitigation. In TCE terms, it relies on ex post safeguards and documentary control to manage uncertainty and opportunism.

NEC: NEC4 ECC manages the same facts through a live process of communication, early warning, Scope instruction, compensation-event notification, quotation, programme update and assessed Defined Cost/time effects. Its governance ethos is relational and process-based, underpinned by the spirit of mutual trust and co-operation in cl. 10.2. In TCE terms, it reduces transaction costs by forcing early disclosure, timely replies and prospective assessment.

2. GCC Position (Implementation) — Written variation first, then claim protection.

Implementation flow:

1. Contractor specifically applies in writing for instruction/approval, timed neither unreasonably distant nor close to need (Clause 63(a)) →
2. Engineer gives or refuses written approval within a reasonable time (Clause 7(1)) →
3. Contractor does not proceed with varied floor work without written order (Clause 60(2)) →
4. If delay occurs, Contractor gives delay notice within 28 days and Cost-claim notice within 28 days (Clause 50(1)(a); Clause 64(2)) →
5. Contractor mitigates, records, submits particulars/interim account, and updates programme if EOT granted (Clause 50(2); SCC Clause A4(2); Clause 64(3); Clause 50(3); Clause 64(4); Clause 50(4)).

A client's changed floor requirement is a variation which the Engineer may order under Clause 60(1). However, Clause 60(2) states that "No variation shall be made by the Contractor without an order in writing by the Engineer"; if the Contractor proceeds without that written order or response, it acts in breach and without payment entitlement for that varied work.

When revised design drawings or documents are submitted, Clause 7(1) requires the Engineer to "give or refuse his approval in writing to such proposals within a reasonable time". The standard GCC has no deemed acceptance rule, so explicit written approval remains necessary before the affected varied floor work proceeds.

If the Engineer's lack of response delays the Works, Clause 50(1)(b)(vii) treats failure to issue decisions, drawings or instructions as a disturbance supporting an EOT. The Contractor must issue written notice of the cause and probable extent of delay within 28 days of the delay arising under Clause 50(1)(a), submit full and detailed particulars under Clause 50(3), and use and continue to use all reasonable endeavours to avoid or reduce the effects of the delay under Clause 50(2) and SCC Clause A4(2). Whenever an EOT is granted, the Contractor must revise the programme accordingly under Clause 50(4).

For Cost, Clause 63(a) permits recovery of actual "Cost incurred" only if the Contractor has specifically applied in writing for the relevant instruction on a date "neither unreasonably distant from nor unreasonably close to" the date when it was necessary to receive it. Clause 64(2) also requires written notice of intention to claim within 28 days after the happening of the event. Clause 64(3) requires contemporary records, including standby time, idle resources and actual costs. Clause 64(4) requires a first interim account for the financial claim. The Engineer then assesses the EOT and ascertains the Cost incurred due to lack of instructions. Clause 61 is the valuation route for ordered varied work; Clause 5 is relevant if the issue is design ambiguity rather than a client change.

3. NEC4 Position (Implementation) — Scope instruction, CE notice and quotation.

Implementation flow:

1. PM instructs Scope change and notifies CE with quotation instruction (cl. 14.3; cl. 60.1(1); cl. 61.1) →
2. Contractor submits revised design particulars and does not proceed until PM acceptance (cl. 21.2) →
3. Contractor early warns as soon as aware of delay, Key Date or Price risk (cl. 15.1) →
4. If PM fails to reply within Contract Data period, Contractor notifies CE within 8 weeks (cl. 13.3; cl. 60.1(6); cl. 61.3) →
5. If PM does not reply to CE notice, Contractor issues failure notice; no reply within further two weeks means CE accepted (cl. 61.4) →
6. Contractor updates programme, continues unaffected work, and submits quotation on competent, prompt mitigation basis (cl. 32.1; cl. 27.3; cl. 62.3; cl. 63.9).

NEC4 ECC manages the situation through strict procedural timelines and prospective risk management, underpinned by mutual trust and co-operation under cl. 10.2. When the Client changes the floor requirement, the Project Manager must give an instruction changing the Scope under cl. 14.3. That instruction is a compensation event under cl. 60.1(1), and the Project Manager should notify the CE and instruct quotation at the time of giving the instruction under cl. 61.1.

To comply with the changed Scope, the Contractor prepares and submits revised design particulars to the Project Manager for acceptance under cl. 21.2. The Contractor must not proceed with the relevant work until the Project Manager has accepted the design under cl. 21.2; proceeding without acceptance is at the Contractor's own risk. The Contractor must nevertheless continue to Provide the Works for unaffected areas and obey Project Manager instructions under cl. 27.3.

The Project Manager must reply to communications within the period for reply stated in the Contract Data under cl. 13.3. All communications must be readable, copied and recorded under cl. 13.1, and notifications must be communicated separately under cl. 13.7. If the Project Manager fails to reply to the design submission within that period, the failure is itself a compensation event under cl. 60.1(6).

The Contractor must give an early warning as soon as it becomes aware that the lack of response could delay Completion, delay meeting a Key Date, or increase the total of the Prices under cl. 15.1. If the Project Manager has not notified the CE for the Scope change or failure to reply, the Contractor must notify the CE within 8 weeks of becoming aware under cl. 61.3; failure means loss of entitlement to a change in the Prices or Completion Date. If the Project Manager fails to reply to that CE notification, the Contractor may notify the failure; if there is no reply within a further two weeks, the CE notification is treated as accepted under cl. 61.4. Each revised programme submitted for acceptance must show how delays will be dealt with under cl. 32.1. On instruction, the Contractor submits a quotation under cl. 62.3, assessed on the assumption that it reacts competently and promptly and that time and Defined Cost are reasonably incurred under cl. 63.9.

4. Behavioural Implications — Do not proceed at risk; notify early.

Under GCC, the Contractor behaves defensively and sequentially. It should not execute the changed floor work without the Engineer's written order under Clause 60(2), even if the client requirement is known. It should make a specific written application for the required instruction/approval under Clause 63(a), press for the Clause 7(1) written response, and then protect EOT and Cost through separate 28-day notices under Clause 50(1)(a) and Clause 64(2). Evidence is retrospective but must be contemporary: standby labour, idle plant, delayed design-team activity, correspondence, actual cost and programme impact. The incentive is to avoid waiver or breach while proving actual loss.

Under NEC, the Contractor acts earlier and more openly. It should request or prompt the cl. 14.3 Scope instruction, submit revised design particulars under cl. 21.2, and avoid affected work until accepted. At the same time, it should early warn as soon as the no-response risk is apparent under cl. 15.1, maintain formal recordable communications under cl. 13.1 and separate notifications under cl. 13.7, and use cl. 61.3 within 8 weeks if the

PM has not notified the CE. Evidence is not only claim proof but quotation support: forecast delay, Defined Cost, mitigation steps and revised programme logic. The incentive is to convert uncertainty into a managed CE and keep unaffected work moving under cl. 27.3.

Implementation comparison (GCC vs NEC4)

Aspect	GCC	NEC4
Authority to change	Engineer orders variation in writing (Clause 60(1); Clause 60(2)).	PM instructs Scope change (cl. 14.3; cl. 60.1(1)).
Design review	Engineer approves/refuses in writing within reasonable time (Clause 7(1)).	PM accepts design before affected work proceeds (cl. 21.2).
No response	No deemed acceptance; claim delay/Cost if conditions met.	Failure to reply is CE (cl. 60.1(6)).
Notice deadline	Delay and Cost notices each within 28 days.	CE notice within 8 weeks of awareness (cl. 61.3).
Mitigation/programme	Reasonable endeavours; revise programme after EOT (Clause 50).	Continue unaffected work; revise programme with delay plan.
Cost evidence	Contemporary records and first interim account (Clause 64).	Quotation and reasonable Defined Cost (cl. 62.3; cl. 63.9).

5. GCC Lessons for NEC Adoption — GCC claim routines become NEC controls.

Start with the GCC discipline of not proceeding without authority. Clause 60(2) teaches Hong Kong practitioners to separate the changed floor work from the rest of the Works until there is written authority; under NEC this transfers to cl. 21.2, where the Contractor must not proceed with the relevant work until the PM has accepted the design. The behavioural adjustment is not to wait passively: prompt the cl. 14.3 Scope instruction, submit the revised design particulars, and keep unaffected work moving under cl. 27.3.

The GCC habit of formal written applications under Clause 63(a) transfers to NEC's communication structure in cl. 13.1, cl. 13.3 and cl. 13.7. The adjustment is timing and purpose: the written request is not only a later claim foundation but also a trigger for the Contract Data reply period and, if unanswered, a potential cl. 60.1(6) compensation event.

GCC notice routines under Clause 50(1)(a) and Clause 64(2) transfer to NEC early warning and CE notification. The adjustment is sharper front-end management: warn as soon as the no-response risk could affect Completion, a Key Date or Prices under cl. 15.1, then notify the CE within 8 weeks of becoming aware under cl. 61.3 if the PM has not done so.

GCC particulars, records and accounts under Clause 50(3), Clause 64(3) and Clause 64(4) transfer to NEC quotations under cl. 62.3 and assessment under cl. 63.9. Clause 61 variation-valuation experience helps price NEC cl. 60.1(1) Scope changes, while Clause 50(4) programme-update habits support cl. 32.1 revised programmes. In practice, GCC claim, record, variation and delay-analysis habits should be used earlier under NEC as live risk, quotation and programme-management tools.

GCC practice / experience	Transfers to NEC implementation
Do not vary without written order (Clause 60(2)).	Use cl. 21.2: wait for PM design acceptance before affected work.
Specific written application for instruction (Clause 63(a)).	Use cl. 13.3 reply period; create cl. 60.1(6) trigger.

Delay and Cost notices within 28 days.	Give cl. 15.1 early warning; notify CE within 8 weeks.
Contemporary records and interim account (Clause 64).	Support cl. 62.3 quotation and cl. 63.9 reasonable Defined Cost.
EOT particulars and programme revision (Clause 50).	Show delay-management plan in revised programme under cl. 32.1.

6. HK-Specific Notes — HK approvals can explain response delay.

For GCC Hong Kong public works, the raw guidance identifies Works Bureau Technical Circular WB1900 Appendix A and the Project Administration Handbook (PAH) Chapter 5 as a likely practical explanation for the Engineer's lack of response. The Architect/Engineer is constrained from ordering any variation committing the Employer to additional expenditure exceeding HK$300,000 for Building Works or HK$1,400,000 for Civil Works without first obtaining "confirmation of no objection" from the Employer. This can structurally delay a formal variation order or written approval even though Clause 7(1) requires a written approval/refusal within a reasonable time and Clause 60(2) prevents the Contractor from proceeding without a written order.

WB1900 Appendix B is also relevant on the GCC side. It requires the Architect/Engineer to report all claims and delays to the Employer and refer the principles underlying their assessment to the Employer for views before reaching a decision. Practically, the Contractor should understand that the contract administrator may be awaiting Employer review of funding and assessment principles; that does not remove the Contractor's need to make the Clause 63(a) written application, Clause 50(1)(a) delay notice, Clause 64(2) cost-claim notice, Clause 64(3) records, Clause 50(3) particulars and Clause 64(4) first interim account.

For NEC4 Hong Kong practice, the raw guidance refers to DEVB Practice Notes and the CEDD Playbook. In CEDD projects, an instruction to change the Scope under cl. 60.1(1) is administratively categorised strictly as a "Variation", whereas a failure to reply under cl. 60.1(6) is categorised as a "Claim". This distinction matters for how the event is logged and administered, even though both are processed through NEC compensation-event mechanisms.

DEVB PN Section A6.3.1.27 expressly states that "Late acceptance of the Contractor's design which prohibit the Contractor to proceed with the relevant work will constitute a compensation event" under cl. 60.1(6). This directly fits a no-response-to-design-submission scenario where cl. 21.2 prevents the Contractor from proceeding with the affected work until design acceptance.

DEVB PN Section A6.1.1.1(b) warns that although Mobile Instant Messaging such as WhatsApp is common, the policy intent is not to accept MIM as a valid form of communication. Therefore, all critical notifications, design submissions, early warnings, CE notifications and failure notices should be made through formal written records satisfying cl. 13.1, with notifications sent separately under cl. 13.7, to avoid unnecessary disputes. No additional NEC4 Hong Kong Edition specifics such as W4, Z-clauses or tender-closing-date baseline were identified in the supplied expert responses for this topic.

Rule-based Validation Summary

Overall verdict: PASSED
Confidence: 0.96
Iterations used: 1
Rule-based track: pass

Metric	Value	Threshold	Status
Citation Accuracy Rate (GCC)	1.00	≥ 0.85	pass
Citation Accuracy Rate (NEC4)	1.00	≥ 0.85	pass
Coverage Rate (GCC)	1.00	≥ 0.85	pass
Coverage Rate (NEC4)	0.86	≥ 0.85	pass
Composite Confidence	0.96	≥ 0.70	pass

NEC4 anchors covered: cl. 13.3, cl. 15.1, cl. 21.2, cl. 60.1(6), cl. 61.3, cl. 61.4

LLM Semantic Validation (Track 2)

Track verdict: pass
Severity: minor
Default codes: E1 (hallucinated clause), E2 (egregious content mismatch)
Diagnostic-only — does NOT gate the overall verdict.

No semantic issues raised.